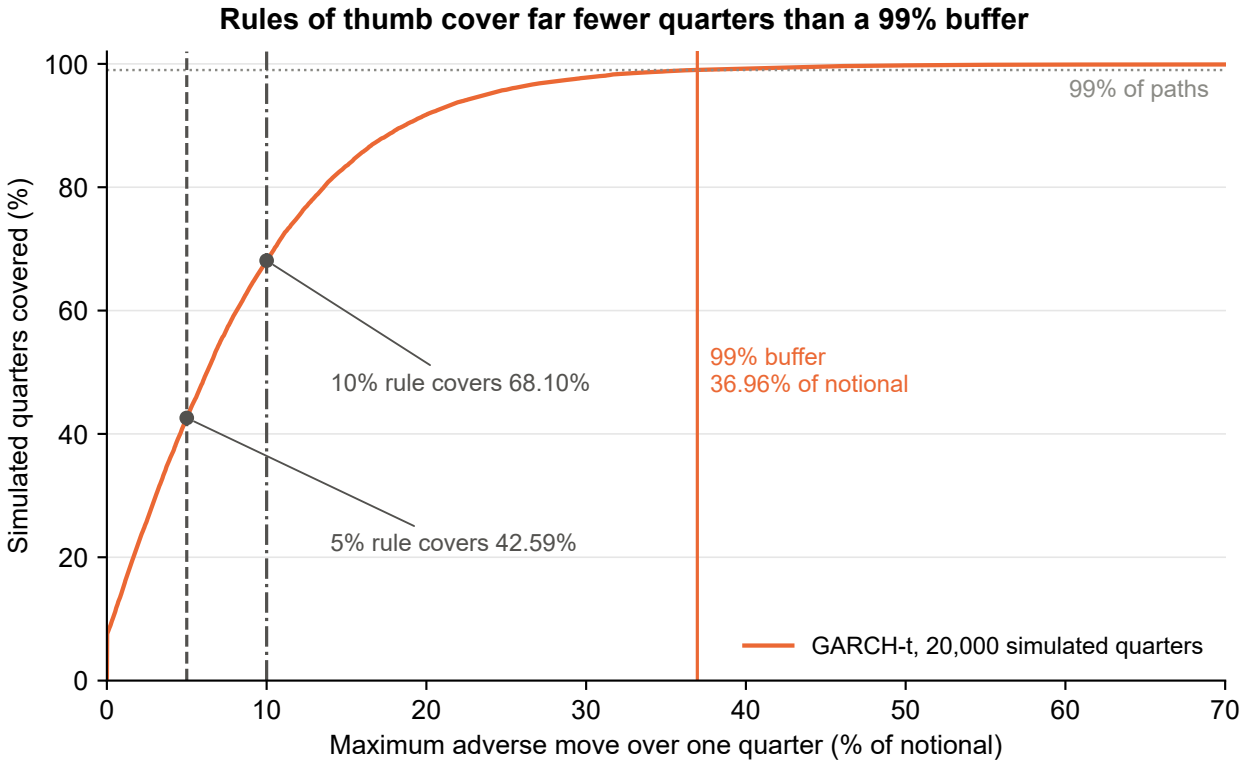
Rules of thumb cover far fewer quarters than a 99% buffer
Simulated quarters covered (%)
100
80
60
40
20
0
99% of paths
10% rule covers 68.10%
5% rule covers 42.59%
99% buffer
36.96% of notional
GARCH-t, 20,000 simulated quarters
0
10
20
30
40
50
60
70
Maximum adverse move over one quarter (% of notional)